| Question | Answer | Explanation |
|---|---|---|
| 1 | **A** | Demand is inelastic: raising price increases revenue. |
| 2 | **B, D** | Both raise apple prices. With inelastic demand, the price increase outweighs the decline in quantity sold. |
| 3 | **E or D** | Someone with a nearly dead battery has an immediate need and little time to find alternatives, D also accepted. |
| 4 | **B, C, D** | B and D raise prices along inelastic demand. C increases apple demand, raising both price and quantity. |
| 5 | **A** | The purchase response becomes larger in the long run. |
| 6 | **A** | Tickets to a particular game are constrained by stadium capacity. |
| 7 | **C, E** | C increases demand. E increases supply, lowering price and raising revenue because demand is elastic. |
| 8 | **C** | Higher labor costs reduce supply and raise price. With elastic demand, revenue decreases. |
| 9 | **C** | The stock of original Picasso paintings cannot be expanded through new production. |
| 10 | **A** | The consumption decline becomes larger in the long run. |
| 11 | **A** | With inelastic demand, increasing price raises revenue. |
| 12 | **D** | Gum is discretionary and has substitutes, such as mints. The other choices describe characteristics associated with inelastic demand. |
| 13 | **A** | |
| 14 | **A** | Sunscreen at the beach meets an immediate need; the other options are discretionary purchases. |
| 15 | **A** | San Francisco housing supply is difficult to expand because of land and construction constraints. |
| 16 | **A** | The consumption decline becomes larger in the long run. |

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| **17** | **B, C, D** | Identical to question 4: higher prices along inelastic demand, or an increase in demand, raise revenue. |